State Environmental Quality Review
NEGATIVE DECLARATION
Notice of Determination of Non-Significance

Project: East Hampton Temporary Generation Facility Expansion

Date: May 17, 2018

This notice is issued in accordance with Article 8 (State Environmental Quality Review Act) of the Environmental Conservation Law and its implementing regulations at 6 NYCRR Part 617 and 21 NYCRR LXXXI 10052.

The Long Island Power Authority ("Authority") has determined, based on information provided by PSEG Long Island ("PSEG LI") and the Environmental Assessment and supporting documents ("EA") prepared by H2M architects + engineers and a supporting document prepared by Cerami and Associates, that the Proposed Action described below will not have a significant adverse impact on the environment and a Draft Environmental Impact Statement will not be prepared.

Name of Proposed Action: East Hampton Temporary Generation Facility Expansion

Location: East Hampton, NY

SEQR Status: Unlisted

Conditioned Negative Declaration: No

Proposed Action Description:

In April 2017, LIPA issued a negative declaration for a temporary generation facility capable of producing 12 megawatts (MW) of power from May through September of 2017, 2018 and 2019 on a 0.69-acre portion of the 1.75 acres LIPA leases from National Grid, which is a portion of a 17.70-acre parcel located off of Cove Hollow Road, north of its intersection with Buell Lane Extension (the "East Hampton Substation" or "Site"). PSEG Long Island (PSEG LI), as Agent for Long Island Power Authority ("LIPA"), is now proposing to increase the capacity of the temporary generation from 12 MW to 17 MW for May through September of 2018 and 2019 ("Proposed Action."). The Site is currently operated as an electrical substation. A diesel-fueled peaker power plant operated by National Grid (National Grid Generation Facility) is located immediately to the west of the Site.

The Proposed Action will operate only as needed during peak periods between May and September in 2018 and 2019, based on demand. The Proposed Action includes the potential use of four additional generation units (for a total of 16 generation units, including the 12 generation units sited in 2017) and three additional transformers. The additional generation units will be installed on the same type of containment berm as used for the generation units for the 12 MW facility ("2017 Facility"). The generation units will remain in place throughout 2019, but will be operated only during the May – September season, as needed. This EA is being conducted to assess the incremental and cumulative potential impacts of the Proposed Action to the previously evaluated and approved 2017 Facility pursuant to SEQRA.

The equipment associated with the Proposed Action will be installed on the same 0.69-acre area as the 2017 Facility, which is within the western portion of LIPA's East Hampton Substation (the "Project Area"). Power from the generators will flow into the substation through existing overhead conductor utility poles on the Site. The fuel supply method to the generation units will be the same as for the 2017 Facility. Compressed Natural Gas (CNG) will be delivered to the Site as needed in trailer mounted trucks equipped with United States Department of Transportation (USDOT) certified CNG tanks. The tanker trucks will connect to the Site fueling apparatus via quick connect fittings. As compared to the 2017 Facility, there will be additional CNG deliveries to the Site as a result of the Proposed Action (see Attachment 8, Traffic).

The Project Area layout is illustrated in the attached Site Plan (see Figure 1.1). The Proposed Action scope includes:

- Siting four additional generation units, each of which is housed in a pre-fabricated steel shipping container approximately 20 feet long, 8 feet wide and 17 feet high. These will be installed on secondary spill containment pads;
- The staging area will accommodate three additional tanker trucks delivering CNG fuel for the generators, for a total simultaneous staging of seven tanker trucks. The tanker trucks will make deliveries to the Project Area as needed to ensure adequate fuel supply. If all of the generation units are operating for a 12-hour period, there will be seven tanker truck deliveries to the Site. It is expected that for most of the summer season none of the units will be operating. No tanker truck trips will occur, except for limited periods of operation.
- Trained personnel will man the Site during operational periods and will include an operating engineer to monitor and operate equipment and fuel handling personnel to implement and monitor fueling operations. Routine maintenance will be conducted during normal work hours, and only emergency repair work will be conducted at night if needed.
- Addition of three transformers to complement the existing seven from 2017 Facility for a total of ten transformers on Site. The additional transformers will enable power from the added generators to be transmitted to the existing distribution grid.
- A 22-foot high noise attenuation barrier will be constructed and maintained along the eastern and southern perimeter of the Project Area to partially attenuate noise (see Attachment 6). The barrier will be constructed using Echo Barrier panels and Sound Seal noise barrier material or equivalent designed to attenuate noise.
- Fire suppression related equipment for the CNG trailers includes smoke and fire alarms that trigger breakers, which ultimately shut down the units and associated gas flow. In case of a fire, there is also a gas venting system that is used to vent the contents of each trailer.

PSEG LI recommended that the Authority issue this determination based on the following findings summarized in PSEG LI's Request Approval Memo, prepared after review of the Proposed Action's scope of work, the Environmental Assessment long form and supporting documents ("EA") that were prepared (including Land Use, Natural Resources, Visual Resources, Energy, Construction, Traffic, and Air) by H2M architects + engineers, and by Cerami and Associates (Noise).

Reasons Supporting This Determination:

Land Use

The Proposed Action will not significantly increase the operational activities involved in the 2017 Facility and do not have impacts significantly greater than or different from the impacts associated with the 2017 Facility. The addition of four generation units, 3 transformers, and 3 tanker trucks containing CNG to the Site will not impact adjacent land uses, especially given the Proposed Action is a temporary facility. Even during the operational season, the units will only operate for limited periods between May and September. Wooded areas surround the East Hampton Substation to the east, south and west of the National Grid Generation Facility and provide a natural buffer between the Proposed Action equipment and adjacent land uses. Further, adjacent residences already coexist with utility and substation uses located at and around the Site. The change in equipment density on-site will be minimally visible from nearby roadways and residences, as discussed in Attachment 4, Visual Resources. As discussed in Attachment 6, Noise, the construction of a noise attenuation barrier will result in noise level changes over existing ambient conditions that are acceptable given the occasional operation of the facility. The Proposed Action land use is consistent with the uses in the study area to the north of the Site, including the LIRR tracks and other large commercial operations and to the west which includes the National Grid Generation Facility. The Proposed Action is consistent with existing land uses on the East Hampton Substation site and will support land use in the East Hampton Substation service areas by facilitating PSEG Long Island and LIPA's ability to reliably meet electrical needs during peak demand periods. Therefore, no significant adverse land use impacts will result from the Proposed Action.

Natural Resources

As was true for the 2017 Facility, all equipment and Site disturbance associated with the Proposed Action will occur within a 0.69-acre previously cleared area of the East Hampton Substation. Natural resources in the immediate vicinity of the Proposed Action will remain untouched. No significant or incremental adverse impacts to birds, mammals, reptiles and amphibians, threatened and endangered species, wetlands or vegetation will occur with the Proposed Action.

The Proposed Action is located within the Special Groundwater Protection Area (South Fork) Critical Environmental Area. The Proposed Action will be within the parameters prescribed by the provisions of Article 7 and 12 of the Suffolk County Sanitary Code protecting the Sole Source Aquifer. All equipment placed on the ground will be equipped with secondary spill containment. As was in place for the 2017 Facility, the Proposed Action will maintain a Spill Prevention Counter Control Plan (SPCCP) to ensure no equipment (transformers and generators) fluids are released to the ground surface. With these protections in place, significant adverse impacts to natural resources will not occur.

Visual Resources

The new generation units will be the same size as the units constituting the approved 2017 Facility, which are 17 feet high, 8 feet wide, and 20 feet in length. The addition of these four units will not significantly change the visibility of the Site. Because of the woods surrounding the Site, the East Hampton Substation is only minimally visible to the adjacent residential uses to the east, west and south. The noise attenuation barrier (which is further discussed in Attachment 6) will be 22 feet in height. The Proposed Action is located near visual resources of both local and statewide significance, and in proximity to historic districts. However, those areas are at least 0.5 miles away and do not have views of the Site. The Proposed Action will not result in a significant adverse incremental or cumulative impact to visual resources.

Energy

The Proposed Action will be beneficial by adding 5 MW of electric capacity to the existing 12 MW facility during peak demand periods and will facilitate PSEG Long Island and LIPA's ability to reliably meet electrical needs during peak demand periods. The additional peak demand capacity is not expected to

promote additional development and further electric demand. Therefore, no negative impacts associated with energy will occur as a result of the Proposed Action.

Noise

The operation of the 17 MW facility with the installation of noise attenuation barriers on the east and south boundaries of the Project Area, will result in an imperceptible increase in the existing ambient noise levels at the closest residential receptor locations to the east and west.

At the closest south residential receptor location, there could be an incremental increase of 9 dBA above the ambient noise level. However, the total potential noise level of 60 dBA is within the limits of both the Town's daytime and NYSDEC residential noise guidelines. Moreover, this increase in noise level will only occur occasionally during maximum peak load hours (11 AM – 11 PM), and is expected to be infrequent and temporary in nature.

In the night time hours of 7 p.m. to 7 a.m., ambient noise levels already slightly exceed the Town Code's nighttime threshold of 50 dBA when the National Grid Generation Facility is operating. The 17MW facility is intended to run primarily if not exclusively during the peak demand hours (between 11 AM and 11 PM). Thus, the 17 MW facility will not impact nighttime (7pm – 11pm) noise levels at the East, West and South residential receptor locations.

North of the Site, at the commercial use property immediately across the railroad tracks from the Site, the operation of the 17 MW facility will result in an increase of 13 dBA in noise levels to the absolute level of 72 dBA at the warehouses located 110 feet from the Site. The nearest residences to the north of the Site (660 feet), will experience increases of 17 dBA in noise to the absolute level of 65 dBA. This is within the Town's day time limits and DEC's guidance for absolute noise level, but above DEC guidance for increases in noise levels. A noise attenuation barrier cannot be constructed at the Site's northern property line because of safety concerns relating to the risk that the barrier might fall or be blown onto the adjacent railroad tracks. These projected levels are within the Town's respective day time limits and DEC's guidance for absolute noise level, but above DEC guidance for increases in noise levels.

PSEGLI and its noise consultant considered various alternatives to attenuate the sound increases to the north of the Site, but found none of them practical. Because the installation of a noise attenuation barrier along the northern side of the Site is not practical due to the safety concerns relating to the adjacent railroad tracks, areas as far as 1.5 miles to the north of the Proposed Action will experience increases in noise levels that are above those for which DEC guidelines may require closer analysis or avoidance in most cases, depending on site-specific conditions. The analysis of this case shows the absolute noise levels will be within applicable Town's daytime and DEC parameters, that the 17MW facility is expected to operate only when the electrical system experiences the highest loads (expected to total approximately 18 hours across the entire summer season from May through September) and that nighttime operation is expected to be very limited and occasional. In the reasonably foreseeable worst-case scenario, where a transmission outage occurs during a continuing heat wave, the run time of the facility may be as long as 12 hours per day (11am to 11pm) over approximately 5 consecutive days. PSEGLI and its noise consultant considered various alternatives to attenuate the sound increases to the north of the Site, but found none of them practical. It is an unlikely scenario, but if it were to occur, the 17MW Facility would be critical to avoiding loss of electric service (I.e. blackouts) in the area. Because the 17MW facility will only operate occasionally between months of May and September in 2018 and 2019 and then will be removed, and given the very occasional and limited operation of the 17MW facility, the short-term increase in noise levels during day-time and limited night-time hours is not considered to be a significant adverse impact. There is no irreversible impact, given the planned end date for the facility.

Construction

During the approximate six-week construction period, construction activities would generate only modest amounts of noise, minimal air quality impacts, and minimal traffic disruptions. Specifically, the construction traffic assessment found that based on the short duration of construction activities, the minimal increases in vehicular trips, and traffic control implementation in impacted areas, construction activities would not be expected to result in any significant adverse impacts to traffic. The construction air and noise assessment found that a maximum of four (4) trucks and a crane would be needed at any one time during facility construction. These vehicles are not expected to operate on a continuous basis during any day, and the small number of trips generated would not have the potential for significant adverse impacts to air and noise during the construction periods. The cultural resources assessment of construction activities found that construction of the Proposed Action would involve no additional ground disturbance from what was conducted in 2017. The Proposed Action Site is an existing land use on an area that has been previously disturbed and cleared. The natural resource assessment of construction activities found that due to the existing nature of the site which includes the 2017 Facility and is covered with blue stone gravel, there would be no significant adverse impacts to natural resources during construction. No work would occur outside of the fenced boundaries of this property. The Proposed Action would maintain a Spill Prevention Counter Control Plan (SPCCP) to ensure no equipment (transformers and generators) fluids are released to the ground surface. During the proposed installation of the generators, PSEGLI personnel would observe the construction activities to determine the potential for spills to land surfaces and any spills would be reported, responded to and addressed in accordance with all applicable requirements. Therefore, no significant adverse impacts from construction of the Proposed Action are anticipated.

Traffic

The Proposed Action will result in three additional tanker truck deliveries of CNG to the Site when all the generation units are operating for a 12-hour period. The addition of the three CNG tankers will not result in a noticeable increase in traffic nor cause any capacity or safety problems for the roadways utilized to access the site including Montauk Highway and Cove Hollow Road. The available sight distance at the intersections utilized to access the site both for the arrival and return trips exceeds the safe stopping sight distance for these turning movements. Based on the forgoing, it has been concluded that the additional traffic generated by the Proposed Action can readily be accommodated by the existing roadways, would not create any undue traffic safety problems, and would therefore not result in any significant adverse impacts to traffic. Moreover, the operation of all generation units for a continuous 12-hour period is expected to occur at most only for 5 days at a time in the worst reasonably foreseeable scenario, where a transmission outage coincides with a continuing heat wave

Air

The Proposed Action will comply with NYSDEC regulations by registering its air emission sources. A registered emission source has to limit its operating time to an average of 6.6 hours per day for the 123-day season between May and September, in order to comply with the 6 NYCRR Part 201-4 cap by rule Minor Facility Registration threshold of 12.5 tons per year (tpy) of Nitrogen Oxides (NOx). As part of the Proposed Action, the operator will implement operational and maintenance procedures to ensure and document compliance with NYSDEC air registration conditions. The operation of the proposed generators will conform to all New York State air registration requirements and is expected to have a minor impact on local ambient air quality. It is not expected to adversely affect air quality, human health or the environment in the study area.

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__/s/ Rick Shansky_____
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Dated: May 17,2018